

11	2022-01275296 Zhang vs. Zhu	Motion to Compel Deposition (Oral or Written) Motion to Compel Deposition Plaintiff's Motion to Compel Deposition of Angel Pik-Chuen Lee and Production of Documents is DENIED without prejudice. California Rules of Court, Rule 3.1346 provides, "Rule 3.1346. Service of motion papers on nonparty deponent A written notice and all moving papers supporting a motion to compel an answer to a deposition question or to compel production of a document or tangible thing from a nonparty deponent must be personally served on the nonparty deponent unless the nonparty deponent agrees to accept service by mail or electronic service at an address or electronic service address specified on the deposition record." Here, the proof of service for the motion does not reflect service of the motion on the nonparty deponent by any means. The motion does not comply with Rule 3.1346 and the deponent has not received notice and an opportunity to respond to the motion. The motion is denied without prejudice to Plaintiff's ability to file a renewed motion with proper service on the deponent.
12	2017-00956655 Thier vs. Farah	Motion to Enforce Settlement Plaintiffs/Cross-Defendant Paul Thier, Thier Ranches, LLC and Wanda Mascia Motion to Enforce the Settlement pursuant to CCP 664.46 is DENIED in part. On 9-21-21, the parties entered into a settlement made orally before the Court. The terms of the agreement are as follows: 1. There will be an "all-inclusive document encompassing these terms" (Shaw Decl., ¶ 2, Ex. A [September 22, 2021, Trial Transcript] at 23:2-3); 2. "Clickers will be needed to gain access through that entry point at the Hamilton Gate entrance to what we call Strip 2 of the Easement" (Id. at 23:4-7); 3. "The Hickey Gate on the south part of the 25 acre will be coded" (Id. at 23:12-14.); 4. There will be an easement granted to Mr. Thier that provides for "vehicular and pedestrian, as well as equestrian rights but only as equestrian rights as [to] Strip 1, and usage for the Strip 1 for equestrian purposes is limited to 20 round trips per day" (Id. at 23:15-20); 5. The settlement document will include an indemnity and hold harmless provision (Id. at 23:21-22);

	6. The settlement document will include “an insurance paragraph much like the existing paragraph 5.2” of the May 31, 2011, easement agreement attached as Exhibit B to the Shaw Declaration (Id. at 23:23–24:1); 7. The parties agree to waive any remaining claims, including tort claims (Id. at 24:4-5); 8. Mr. Farah will pay or cause to be paid \$10,000.00 to Plaintiffs within 30 days after the full execution of the proposed settlement agreement (Id. at 24:5-8); 9. The Complaint and Cross-Complaint (that is, the entire action) will be dismissed with prejudice (Id. at 24:26–25:3); 10. The settlement document will include a mediation and arbitration provision that provides “if a party files a lawsuit without first demanding mediation . . . they waive their attorney’s fees” (Id. at 25:4-7); 11. The settlement document “will contain a [Section] 1542 waiver[] and release language provision” (Id. at 25:9-10); 12. The document that creates the above-referenced easement will be recorded in the official records of Orange County, California (Id. at 25:10-12); 13. The settlement document will include an attorney’s fee provision (Id. at 25:13-14); 14. Mr. Farah or his successors and his assigns will have the right to relocate the road just like the existing easement agreement and provide meaningful access to the same width, subject to the same access points (that is, the entry gate would not be moved, but the angle of the road could be moved) (Id. at 25:18-23); 15. Any person coming from the three-acre or 80-acre parcels must ride their horses only on the easements being granted, not on side trails, and the vehicles must always stay on the easements (Id. at 26:20-25); and 16) 16. The parties agree “to operate in good faith . . . to be able to get that insurance requirement satisfied” (Id. at 28:13-15). In opposition, Defendants do not dispute these material terms of the agreement. The issue in dispute is whether the settlement agreement can be finalized if Plaintiffs have not obtained insurance coverage required under Section 5.2 of the existing Easement Agreement and/or insurance coverage that is required before Trustee Farah is obligated to execute and record an equestrian easement in favor of Thier. Pursuant to the terms of the settlement agreement, the written settlement agreement is to include “an insurance paragraph much like the existing paragraph 5.2 . . . [of] the May 31, 2011, Easement Agreement between Trabuco Canyon Company and Thier.” (Shaw Decl., ¶ 2, Ex. A [September 22, 2021, Trial Transcript] at 23:23-
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26.) The insurance provision of the May 31, 2011, Easement Agreement is as follows:

5.2 Owners' Liability Insurance. Each Owner shall, severally, at all times maintain or cause to be maintained in full force and effect a commercial general liability insurance policy with respect to its Parcel with a financially responsible insurance company or companies, including coverage for claims of bodily injury, personal injury, property damage, and contractual liability. Such insurance shall be on an occurrence basis providing single limit coverage in an amount not less than \$2,000,000 per occurrence. Each Owner's commercial general policy with respect to the Easement Area shall name as an additional insured the other Owners and any secured lenders designated in writing by the other Owners (the "Designated Lenders"). Each Owner shall furnish to each other Owner and Designated Lender requesting the same in writing, evidence that the insurance referred to in this Section 5.2 is in full force and effect and that the premiums for such policy have been paid. Such insurance shall provide that the same may not be canceled, reduced below the required minimum or materially amended without at least thirty (30) days prior written notice being given by the insurer to all other Owners and to the Dedicated Lenders.

(Id. at ¶ 3, Ex. B [May 31, 2011, Easement Agreement] at § 5.2.) But, the parties also agreed "to operate in good faith . . . to be able to get that insurance requirement satisfied." (Shaw Decl., ¶ 2, Ex. A [September 22, 2021, Trial Transcript] at 28:13-15.) There is no deadline stated as to when the insurance provision will be obtained.

Defendants point out that Plaintiffs have failed to provide proof of insurance despite repeated requests from Mr. Farah's. In fact, Defendants assert that Mr. Thier has not obtained any insurance coverage since approximately 2017, if not earlier, that comports with the express requirements of Section 5.2. Moreover, Plaintiffs provide no evidence regarding any good faith efforts to obtain the policy as required under the terms of the settlement.

Plaintiffs indicate that Mr. Thier has obtained a \$2,000,000 personal liability policy on his property and that is all that is required under the settlement terms. (Shaw Decl., ¶ 5, Ex. D.) The Court disagrees.

Section 5.2 states: "Each Owner's commercial general policy with respect to the Easement Area shall name as an additional insured the other Owners and any secured lenders designated in writing by the other Owners (the "Designated Lenders")." The easement provides there will be an easement granted to Plaintiffs that provides for "vehicular and pedestrian, as well as equestrian rights but only as equestrian rights as [to] Strip 1, and usage for the Strip 1 for equestrian purposes is limited to 20 round trips per day" (Shaw Decl., ¶ 2, Ex. A [September 22, 2021, Trial Transcript] 23:15-20.)

There is no evidence that Plaintiffs named Defendants as an additional insured on the insurance policy, nor any evidence that the policy covers pedestrian, equestrian, or vehicular use.

Defendants argue that obtaining the insurance was a condition precedent to the granting of the equestrian easement, and that Mr.

Farah's counsel has been trying since October 2021 to obtain proof of the insurance coverage. "A condition precedent is either an act of a party that must be performed or an uncertain event that must happen before the contractual right accrues or the contractual duty arises." (Estate of Jones (2022) 82 Cal.App.5th 948, 953, internal citations omitted.) Conditions precedent may be created either expressly or impliedly. (Id.) "Courts will not interpret a provision as a condition precedent absent clear, unambiguous language requiring that construction." (Id.)

In this case, obtaining the insurance appears to be a condition precedent to the recording of the easement. It makes sense that Defendants as the grantor of the easement would require Mr. Thier to also maintain insurance coverage to avoid any potential liability for accidents that might occur thereon. Mr. Farah's counsel attempted on several occasions to obtain proof of such insurance, thus evidencing the importance of the insurance policy to this case. (See Declaration of Gregory Page.) Mr. Zfaty, counsel for Plaintiffs, also seemed to acknowledge the importance of the insurance policy. Mr. Zfaty stated on the record that:

"And so there's one additional piece, and we're going to have to probably ask the Court maybe for some assistance on this, but here's how this sorts out...once this case is dismissed, that we'll be able to go and get another policy, and to that end, insurance counsel, Mr. Prediado here in this case has even already reached out to get that underwriting process at least initiated. Maybe 'started' is not the right word so that carrier knows that we need to get this done. We're going to operate in good faith, everybody, to be able to get that insurance requirement satisfied. If we cannot, then we're also going to do is operate in good faith to try and resolve how we resolved it ourselves."

(Shaw Decl., ¶ 2, Ex. A [September 22, 2021, Trial Transcript] at 27:6-28:18.)

Although the parties acknowledged the importance of obtaining the insurance policy, there is no specific deadline provided pertaining when said policy must be obtained. Where a contract does not fix a time for performance, reasonable diligence and good faith must be required and it is the duty of the Court to hear evidence and therefrom fix a time which would be fair. (See e.g., Estate of Jones, supra, 82 Cal.App.5th at 953-955.)

Given that Mr. Zfaty specifically indicated that it would likely seek Court assistance on the insurance issue, the Court orders the following:

- The written settlement agreement is to include an insurance provision similar to Section 5.2 of the Easement Agreement. Given that the easement is for vehicular, pedestrian or equestrian use, the insurance policy should cover said use.
- The parties are to meet and confer and agree to a deadline in which Plaintiffs are to provide proof of insurance.

		• Defendants will record the easement within a certain _____ days upon receipt of proof of the insurance.
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